

No 10 North: will it work? And how will we know?

Max Nathan

University College London and CEP

max.nathan@ucl.ac.uk

Abstract [152 words]

I explore the possible policy and economic impacts of splitting the UK Prime Minister's office across two cities, London and Manchester. 'Number 10 North' is the core of the current UK Government's plans to devolve power to cities and towns. It is also part of a larger process of remaking how central government works, referred to as 'rewiring the state'. Drawing on theory and existing bodies of evidence, I look first at the micro-geography of physically splitting executive functions across a large distance. Second, I look at whether shifting the locale of decision-making will bring new perspectives and directions to public policy, especially to devolution and economic growth policy. Third, I speculate about how far London's wider media-political complex will also relocate to Manchester. Fourth, I look at potential impacts on Greater Manchester's political ecosystem and local economy. I also explore how we could track these impacts using a range of methods.

Keywords: devolution, machinery of government, local economic development, political economy, public sector relocation

Acknowledgements: Many thanks to Kieron Flanagan, Simon Hooton and Jennifer Williams for helpful comments. The usual disclaimers apply.

Number 10 North is the core of Andy Burnham's plans to remake UK government. He described it recently as *'the first major act of this government and what I hope will be seen as its most defining.'*¹

This relocation is part of a much bigger process of 'rewiring the state'.² Part 1 is expanding devolution to cities and towns, including localising parts of the tax base. Part 2 is beefing up Downing St with a new Office of the Prime Minister and Cabinet (OPMC). Part 3 is moving a big chunk of this out of London to Manchester. Up to 150 civil servants will work in Number 10 North in the future; about half the current Number 10 workforce.³

The Prime Minister sets out his objectives as follows (emphasis mine):

Why has none of it worked? It is partly because, even though Whitehall departments have set up outposts, decision-making power has remained in London. It is also because, in the very centre of government itself, Nos 10 and 11 have not been sufficiently aligned – particularly on growth.

*This is what No 10 North is seeking to correct and, if we succeed, it could bring the much-needed sea change in the way Britain is run. It is about driving growth from the most powerful office in the land and doing so in close alignment with the Treasury. It is about taking power down and placing it in the hands of people who can use it best.*⁴

¹ A Burnham (2026) "It's not just a No 10 in the north, it's an engine for growth throughout the whole UK", The Guardian, July 23.

² Gov.UK (2026): Rewiring the State – Cabinet Statement. The key machinery of government changes are summarised in <https://www.gov.uk/government/news/machinery-of-government-changes-fact-sheet>.

³ D Bloom (2026) "Burnham will divert 'significant' resources out of civil service, says No. 10 North chief", Politico, 21 August. No 10 South numbers from Jordan Urban (2023) "Number 10 Downing St", London: Institute for Government, <https://www.instituteforgovernment.org.uk/explainer/no10-downing-street>.

⁴ Burnham (ibid).

In what follows, I look at how relocating half the heart of government might work out, and how we could follow its effects. I see four things to track:

- 1) Microgeography — what happens when you split an organisation across two places?
- 2) Will relocation really change the overall tone and direction of government policy?
- 3) How much of the wider media-policy complex will move too — journalists, think tanks, lobbyists, unions, big firms?
- 4) How might this relocated activity change political dynamics, or reshape Greater Manchester's economy?

We do not have strong priors about how 1–3 will play out, although existing work gives us clues, but not much more. On 4, we can learn something from both the BBC's move to Salford, and the government's Darlington Economic Campus. As I explain below, my guess is that the economic impacts are likely to be small overall — but could also be highly localised, and could transform a few neighbourhoods.

I don't want to talk about devolution in detail in this piece, but I do want to emphasise how much devolving *locally* depends on changing how *central government* is organised, specifically the No 10 ~ Treasury relationship.⁵ Burnham's team clearly know this: pulling both the Devolution lever *and* the one marked Whitehall Change, though as I will discuss below, how No 10 and the Treasury will actually work together is not yet clear.

The power of proximity

Splitting the PM's department across two cities brings up tricky issues of microgeography. Historically, knowledge work needs people in the same room. Face to face interaction is richer; people can work more flexibly and intensively, responding to rapidly changing situations. One of the reasons cities still exist is because they help this kind of work get done better and more productively.⁶

⁵ M. Nathan (2022) "The Long and Winding Road", <https://maxnathan.medium.com/the-long-and-winding-road-1f6a77028d05>.

⁶ D Atkin, M K Chen and A Popov (2022). The Returns to Face-to-Face Interactions: Knowledge Spillovers in Silicon Valley. NBER Working Paper 30147. Cambridge, MA, NBER.

The same logic applies to large organisations where this kind of work is done. Recent evidence from lab moves and remote working suggests even quite small shifts in physical proximity have major effects on collaboration and learning. A recent study shows that co-locating research labs increases collaboration by 3.5 times; separated colleagues collaborate less. Even sitting next to coworkers improves learning and productivity compared to teams split across buildings, especially for more junior staff.⁷ Studies showing remote workers are just as productive as before typically focus on routine tasks, like call centre work or patent examining.⁸

All of which suggests things might go very badly. So what's the more positive case? First, thanks to the forced experiment of COVID-19, civil servants understand how to do remote working. Second, remote teams work better if team members have already built working relationships through face to face. That suggests Number 10 North is going to build up rich working relationships very rapidly in the early stages. Even Andy Burnham may need to spend more than the planned day a week there.

How will we know if it's working? Systematically tracking No 10 workflows is basically impossible for researchers, since so much will be confidential. Instead, I suspect we'll be relying on insider accounts of how work gets done, who's up and who's down, and how far the physical split is help or hindrance.

Note that No 10 North involves shifting *functions*, as well as locations. If everyone working on devolution and local economic growth is in the same building in Manchester, in a

⁷ C Catalini (2018). "Microgeography and the Direction of Inventive Activity." Management Science **64**(9): 3971-4470; N Emanuel, E Harrington and A Pallais (2026). "The Power of Proximity to Coworkers." The Quarterly Journal of Economics **141**(3): 1825-1870. For a recent review of other evidence, see M Madaleno, M Nathan, H Overman and S Waights (2021). "Incubators, accelerators and urban economic development." Urban Studies **59**(2): 281-300.

⁸ N Bloom, J Liang, J Roberts and Z J Ying (2014). "Does Working from Home Work? Evidence from a Chinese Experiment." The Quarterly Journal of Economics **130**(1): 165-218; P Choudhury, C Foroughi and B Zepp Larson (2020). "Work-from-Anywhere: The Productivity Effects of Geographic Flexibility." Academy of Management Proceedings **2020**(1): 21199.

relatively self-contained way, does the site split matter so much? This raises a second set of questions.

Different and better decisions?

If devolution is the answer to over-centralisation, why relocate parts of central government to change the direction of policy? If we change where decision-making happens, different people make those decisions. A big argument for devolution is that it improves decision-making because local conditions vary, local knowledge is brought to bear, and elected local leaders have electorates to answer to. Similarly, *central government* decisions may improve too if different perspectives and knowledge bases are brought in.

These aren't new arguments, and neither are they Labour's: I've been paraphrasing Michael Gove's 2020 Ditchley Lecture, which argued that relocation would change civil servants' metropolitan mindset, and incentivise officials to make more effective policy:

*It is not just that all major Government departments are based in London, with the impact that concentration of senior jobs has on our economy. **It is also the case that Westminster and Whitehall can become a looking-glass world. Government departments recruit in their own image, are influenced by the think tanks and lobbyists who breathe the same London air and are socially rooted in assumptions which are inescapably metropolitan. ... what is less often felt is the pressure to show, over time, that programmes have been effective and enduring.***⁹ (emphasis mine)

In the case of No 10 North, the staff leading devolution and growth policy are GMCA veterans who've done it for their home city already, understand what it's like to be on the receiving end of Whitehall, and know the challenges of implementation.

One worry is that civil servants will not want to move out of London. The ONS move to Newport is a cautionary tale — there was a lot of attrition. In this case I suspect it's a non-

⁹ M Gove (2020). 'The Privilege of Public Service' given as the Ditchley Annual Lecture,

<https://www.gov.uk/government/speeches/the-privilege-of-public-service-given-as-the-ditchley-annual-lecture>

issue. For one thing, this is a gradual buildup in a city with over 50,000 students —a big potential workforce for the planned number of No 10 jobs. For another, the key staff are *already* on site — one of the logics is that *they* don't want to move to London.

The more serious concerns are problems with split sites – as above – and that the move collapses into something purely symbolic. One risk here is that raw *political* power stays in No 10 South. A second risk is that *economic* decision-making power stays in the Treasury. How to configure growth policy across government is already a point of contention. No 10 North *formally* takes on devolution and local growth, but will also drive 'growth for the whole country'.¹⁰

But how will that happen in practice, since the Treasury is — to put it gently— used to doing that job? If devolution helps cities grow, that helps UK Plc. And industrial and science policy runs through places where priority sectors and research are clustered. From that point of view, *all* growth policy is place-based and No 10 should drive it. But if HMT continues to run macro policy, and keeps teams shadowing all spending departments, then it's hard to see how No 10 can steer effectively. From a machinery of government point of view, either this gets solved structurally — formally passing functions to No 10 — or it gets worked around politically, with the PM, John Healey and key officials agreeing and driving through a shared agenda. It is not clear which of these will come through.

The effects decision-making and policy outcomes will be hard to parse, but because we can look across the whole of government, options for evaluators are richer. In the jargon, we can think of No 10 North as an exogenous policy shock — not expected or foreseen, and not trailed before Burnham became leader.¹¹ This gives us a relatively clean setting to try and back out impacts since the announcement.

First, government language could look and sound different. We could track how official discourse is evolving in No 10 (physically decentralised) versus say HM Treasury (London-

¹⁰ J Williams and G Parker (2026) "How would Andy Burnham's 'Number 10 North' work?", Financial Times, 1 August.

¹¹ D Bloom (2026) "The British Prime Minister's New Digs", Politico, 21 August.

dominated) on the policy areas both departments keep working on.¹² Since Burnham became PM, how far will the two organisations diverge in — say — tone/sentiment, vocabulary, and the spatial distribution of examples/evidence? Natural language processing of policy documents would help quantify these differences.

Second, patterns of public spending could become less London / South East-centric. An event study could look at the spatial distribution of departmental spend before and after No 10 North was set up, for example across business support, innovation and industrial policy. No 10 leads on devolution and local economic growth; in practice, it will need to steer decisions in other areas of policy too, including those where HMT or other spending departments may maintain influence. The trick would be to separate out budgets and programmes that stay national versus the increasingly large slices devolved to mayors.

Note that both designs track policy divergence — neither directly looks at whether outcomes get better, although both could be developed to give insight on that too. What will be challenging is that everything's confounded with other machinery of government changes, especially the creation of OPMC, as well as the effect of a small number of key personalities across both sites.

Uprooting the wonks and the lobbyists

More broadly, how No 10 North might affect Greater Manchester¹³ itself? Specifically, how much of the media-political complex — journalists, wonks and think tankers, lobbyists, unions and industry groups, or even foreign governments — will now set up shop in the city-region?

¹² I'm assuming that the Darlington Economic Campus is essentially a satellite office, not a decision-making centre in its own right. Over 750 HMT staff now work in Darlington, around 25% of the total headcount, according to an initial evaluation by Drees and Sommer, September 2024. No 10 North will have around 150 staff, a much smaller number but likely a much larger share of the overall No 10 workforce (Urban, *ibid*).

¹³ I'm using the term for the conurbation deliberately — in practice I suspect any impacts will be very localised.

Joshi Herrmann has an entertaining piece in the Manchester Mill speculating on how this might go.¹⁴ In fact it is an extremely helpful micro-framework. It's plausible at least some news orgs will set up more local offices; some London-based think tanks, unions and lobbyists and groups like the CBI might also open new branches, especially if their business touches on devolution, industrial strategy or local economic growth.

As Joshi suggests, it'll be fascinating to see how firms — and workers — in the area respond, given their deeper local knowledge and connections. Some of that might come through hiring — key No 10 North staff have already been poached from the Combined Authority, and London firms might copy that playbook. Manchester has already birthed at least two high-powered consultancies, MetroDynamics and GC Insight; will new firms spawn to compete with them? What will think tanks like CLES do? Will Manchester University spin out a policy-focused research group like Birmingham's City-REDI?¹⁵

We should also be looking for relocation-driven changes in the wider political economy.¹⁶ It's possible that patterns of lobbying, MPs' outside interests and political donations will change, and become more GM-centric. As Jennifer Williams and others have argued, devolution raises the need for proper local scrutiny, and this also applies when central government moves.¹⁷ How will media in Manchester and the wider North West step up, building on the dynamism of outlets like The Mill? How will national outlets develop new ways of working to cover twin centres of power? Finally, as has already happened with Metro mayors, will voter awareness shift, and what will this do turnout in elections?

How might we answer these questions? The first step is monitoring — checking counts of new and relocated companies, jobs and ownership structures, tracking job postings, following lobbying and MP financial interest data, and so on. The wider political economy impacts are

¹⁴ J Hermann (2026) "Number 10 North Might be a Gimmick, but it's our Gimmick", Manchester Mill, 2 July.

¹⁵ Full disclosure — I've worked in both these places.

¹⁶ A useful formal framework is provided in F Campante and Q-A Do (2014). "Isolated Capital Cities, Accountability, and Corruption: Evidence from US States." *American Economic Review* **104**(8): 2456–2481.

¹⁷ B Quinn (2026), "Local media needs support if devolution push is to succeed, publishers say", Guardian, 1 August; J Williams (2026) "Mayoral scrutiny is a pressing issue", Financial Times, 1 July.

outside my domain, but I hope political scientists can take these forward. I'll say more about tracing economic impacts below.

The economic effects of relocation

Governments around the world use public sector relocation to drive local economic growth.¹⁸ How might this affect local economies? First, there are more jobs in the relocation site. Second, relocated workers spend money locally, and departments buy services from local firms. Third, if there's a larger cluster, we might get spillover effects on innovation, or productivity, or via startups and other firms moving in. That's the upside. Against this, relocated activity competes with existing businesses for workers, space and market share. Jobs and firms might just be shuffled across space, rather than new activity created. Incumbents could be displaced by newcomers. And there might also be wider effects on local housing markets — good for homeowners and landlords, not so good for first-time buyers or renters.

Though it's not a perfect parallel, the BBC's relocation to Salford gives us some basic priors on the potential economic effects of No 10 North. Over 1500 staff relocated to MediaCity in 2011–12, with a further 600 new roles; around 4,000 staff currently work on site. In a study looking at economic impacts five years after the move, colleagues and I find that every three BBC jobs generated another job in Salford's creative industries, and the number of creative firms (and firm size) also went up.¹⁹ While we find some job creation in adjacent activities — such as tech — we find no evidence of the predicted local spending effects. Neither do we see

¹⁸ Relocation includes both moving capital cities (e.g. Bonn to Berlin) and more commonly, moving bits of government out of capital cities. Often there's a cost-cutting goal too; governments save money by moving back-office jobs to cheaper locations. For a review of relocations across OECD countries see D Freitas (2025) *The Potential of Public Employment Reallocation as a Place-Based Policy*. [NBER Working Paper 33432](#). Cambridge, MA, NBER.

¹⁹ Y Gómez-Hernández, M Nathan, H G Overman, C Riom and M Sanchez-Vidal (2026). Multipliers from a major public sector relocation: the BBC moves to Salford. [CEP Discussion Paper CEPDP2042](#). London, Centre for Economic Performance.

spillovers or displacement across the wider conurbation; and effects on housing markets are very unclear.

So what does that imply? Publicly-announced number of relocated civil service jobs is far too few to move the dial, as an early evaluation of the Darlington Economic Campus also makes clear.²⁰ So any economic boost is going to come from the combined effect of government activity *plus* growth in media-policy world. Let's imagine that in total, at least 1k jobs are created or move. That might be enough to trigger some halo effects through wonkish spillovers, supply chain shifts, local spending, or all three. As above, there will also be some creative destruction as arrivals from London compete with local companies. And we might expect some real estate shifts, both in the office market and in some layers of the GM housing market.

I would *guess* all of these effects will be fairly small — but a lot depends on how much activity, public or otherwise, moves or springs up around the Number 10 site. We can be more confident impacts will be highly localised to milieux around Heron House, New Islington and desirable neighbourhoods across the city-region. Journalists and policy types are highly clustered in London, both where they work and where they live, and you'd expect to see that in GM too. I'd also guess some of these effects, especially in office markets, will be visible before the new permanent site in Ancoats comes on stream.

To test the causal effects of all this, we need to compare changes in Manchester against what would have happened without No 10 North. The challenge is that — in the jargon — this is a one-off shock where there's no obvious counterfactual. Just like the BBC's move, it doesn't look like any other city was considered as a site, even though there is Government real estate many cities outside London; we also know Burnham's desire to bring in trusted GMCA staff drove the decision. This means an evaluation design — like the BBC study — where one compares outcome changes in GM (or the City of Manchester local authority area) against a 'synthetic' control area built from a weighted average of other cities. Note that London can't be used here, since it's on the other side of the relocation. Given how London-centric media and politics are in UK, this may make it harder to build the synthetic GM we'd need.

²⁰ Drees and Sommer (2024) Evaluation Report: Darlington Economic Campus (DEC), SM/24033/13/September 2024, September 2024.

Taking it seriously

All of this assumes that Number 10 North is a real change, not a gimmick. From a PM who cut his teeth in the New Labour era, you might well be cynical. However, from everything we've seen so far, Andy Burnham is deadly serious. What has been proposed is significantly beyond anything Mayors or devolution advocates have asked for. On top of that, tying decentralisation to a written constitution and universal basic services only underlines the scope of what's in play. I hope I've clarified how to think about one part of it; how it will actually go is still wide open.

Word count: 3,362 words including footnotes.